Morgan Stanley | RESEARCH

UPDATE

October 28, 2026 12:34 AM GMT

ASMPT Ltd | Asia Pacific

First take: Record bookings; OW

AlphaSignals Earnings Reaction

Unchanged	**Modest shortfall**	**Modest revision higher**
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

3Q26 bookings exceeded guidance, supported by TCB, SMT, Photonics. Revenue beat consensus while EPS slightly missed. 4Q26 outlook is stronger than expected.

ASMPT released its 3Q26 earnings report on Oct 28; below are our highlights:

- **Record bookings, significantly above guidance:** 3Q booking reached US $1,128mn, +24.7% Q/Q, +137.9% Y/Y, exceeding previous guidance for HSD percentage growth Q/Q. SEMI bookings increased 31.3% Q/Q, driven by TCB, Photonics, and flip-chip solutions. SMT bookings rose 18.9% Q/Q, marking its third consecutive quarterly record.
- **Book-to-bill (B/B) ratio rose to 1.69 in 3Q26**, vs 1.43 in 2Q26 and our estimate of ~1.4, reaching a new high since 1Q21. Demand remained supported by AI infra investment across both segments. SMT bookings included more than US$100mn of bulk orders and pull-ins, contributing to the strong quarter.
- **3Q26 revenue in line while earnings missed**: ASMPT reported revenue HK $5.25bn, +5% Q/Q, +43% Y/Y, 1% above consensus. EPS was HK$1.28, slightly below consensus, while adjusted EPS of HK$1.65 was above consensus.
- **4Q26 outlook**: ASMPT expects 4Q26 revenue of US$670-730mn, +4.6% Q/Q, +37.5% Y/Y at the mid-point, ~8% above MSe. Growth should be driven by double digit Q/Q SMT revenue growth, while SEMI is expected to be flat Q/Q due to longer AP product lead times. Bookings should remain significantly higher Y/Y but decline Q/Q after 3Q's SMT bulk orders and pull-ins.
- **Advanced Packaging**: **TCB**: C2S orders reached a record high, while repeat C2W orders were secured from a leading global IDM for advanced CPUs. Larger HBM capability-driven investments have been pushed out as customers reassess HBM4 rollout schedules, although capacity additions and selective upgrades remain opportunities. **Photonics**: Bookings and revenue reached record levels. AMICRA secured a breakthrough NPO bulk order and maiden optical-transceiver orders from a leading communication service provider, alongside continued engagement with leading CPO players.

Positive stock reaction: We expect a positive stock reaction post the print in reaction to the booking surprise and strong 4Q guidance. Reiterate OW.

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ASMPT Ltd (0522.HK, 522 HK)

Greater China Technology Semiconductors | Hong Kong

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	HK$248.00
Up/downside to price target (%)	105
Shr price, close (Oct 27, 2026)	HK$121.20
52-Week Range	HK$244.40-68.59
Sh out, dil, curr (mn)	398
Mkt cap, curr (mn)	HK$48,190
EV, curr (mn)	HK$40,515
Avg daily trading value (mn)	HK$441

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (HK$)**	2.17	4.01	6.83	9.40
Prior EPS (HK$)**	-	-	-	-
EPS (HK$)§	1.40	4.37	6.41	8.29
Revenue, net (HK$ mn)	14,521	19,265	22,157	25,388
EBITDA (HK$ mn)	1,864	3,436	4,800	6,372
ModelWare net inc (HK $ mn)	1,061	1,838	2,856	3,934
P/E	30.3	27.6	17.7	12.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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on January 21, 2026. There is no assurance that the Assessment will result in a transaction, nor as to the timing or terms thereof. ASMPT has agreed to pay fees to Morgan Stanley for its financial services. Please refer to the notes at the end of the report.

Valuation Methodology and Risks

ASMPT Ltd (0522.HK)

Base case, residual income model. Key assumptions: cost of equity 9.2% (2% risk-free rate, 5.5% equity risk premium, 1.3 beta), intermediate growth rate 14.5%, terminal growth rate 3.5%.

Risks to Upside

- Chinese OSAT companies' demand increases and they start expanding capacity.
- Advanced packaging tools adoption is stronger than expected; ASMPT gains market share.
- Hybrid bonding tool makes a technological breakthrough.

Risks to Downside

- Global economic and semiconductor growth is slower than expected.
- Chinese OSAT companies' demand weakens and they stop expanding capacity.
- No progress is made on hybrid bonding tool.

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(as of September 30, 2026)
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Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

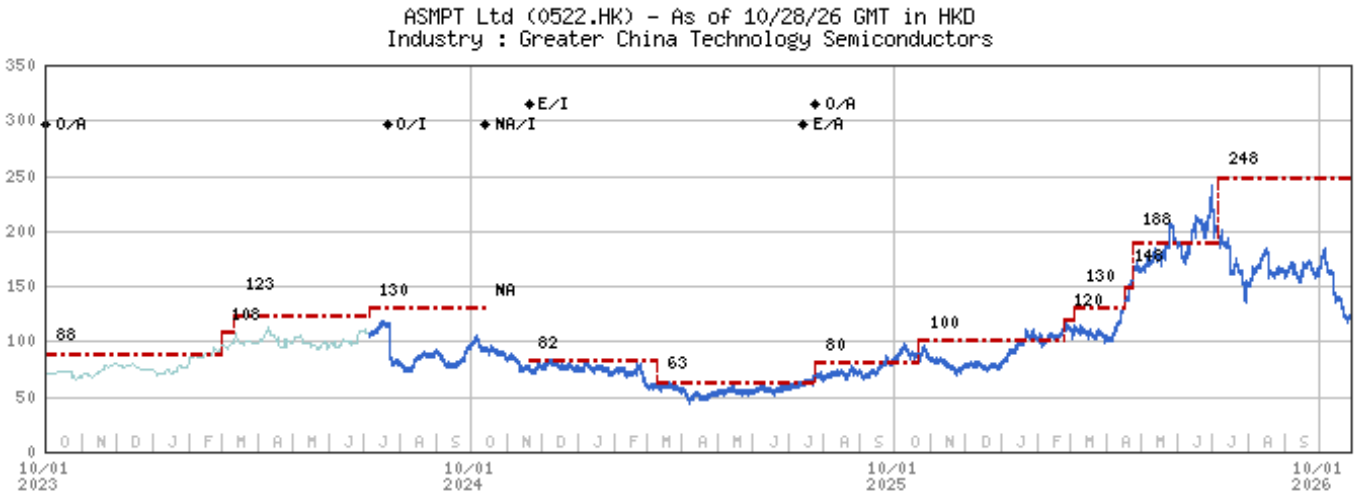
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Price Target History: 5/20/21 : 123; 10/12/21 : 95; 1/24/22 : 88; 7/12/22 : 72; 2/22/23 : 56; 3/2/23 : 60; 5/2/23 : 66; 6/12/23 : 88; 2/29/24 : 108; 3/11/24 : 123; 7/5/24 : 130; 10/14/24 : NA; 11/20/24 : 82; 3/10/25 : 63; 7/24/25 : 80; 10/21/25 : 100; 2/23/26 : 120; 3/5/26 : 130; 4/16/26 : 148; 4/23/26 : 188; 7/6/26 : 248

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/27/2026)
Charlie Chan		
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT$119.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT$3,495.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT$651.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb912.98
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb43.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT$7,430.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT$814.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT$505.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK$64.55
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK$71.40
MediaTek (2454.TW)	O (11/28/2025)	NT$3,960.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb471.13
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT$441.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb82.29
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT$1,910.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb84.22
Silergy Corp. (6415.TW)	U (05/19/2026)	NT$478.00
SMIC (0981.HK)	O (10/21/2025)	HK$45.34
TSMC (2330.TW)	O (02/07/2022)	NT$2,400.00
UMC (2303.TW)	O (05/19/2026)	NT$122.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT$161.50
WIN Semiconductors Corp (3105.TWO)	E (10/09/2026)	NT$491.00

Daisy Dai, CFA

ASMPT Ltd (0522.HK)	O (07/24/2025)	HK$121.20
China Resources Limited (688396.SS)	U (03/02/2026)	Rmb48.19
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb103.82
Hangzhou Silan Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb24.11
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb187.03
Innoscience (2577.HK)	E (10/13/2025)	HK$29.48
JCET Group Co Ltd (600584.SS)	O (09/16/2026)	Rmb53.29
Shanghai Fudan (1385.HK)	O (03/07/2025)	HK$22.08
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb77.48
SJ Semiconductor Corp (688820.SS)	E (09/16/2026)	Rmb86.22
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb68.01
Unigroup Guoxin Co Ltd (002049.SZ)	U (01/10/2023)	Rmb50.31
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb21.10
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb70.51
Daniel Yen, CFA		
AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT$814.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT$1,495.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT$16,015.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT$95.50
Elan Corp (2458.TW)	O (10/03/2025)	NT$131.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT$2,515.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb138.00
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb268.98
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US$11.94
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT$103.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK$210.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb164.50
Novatek (3034.TW)	U (02/04/2026)	NT$599.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT$132.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT$522.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT$69.40
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT$793.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb58.25
Silicon Motion (SIMO.O)	O (05/06/2024)	US$204.17
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT$163.00
WPG Holdings (3702.TW)	O (03/16/2026)	NT$116.50
WT Co. Ltd. (3036.TW)	O (01/27/2026)	NT$215.00
Henry Zhao		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US$51.97
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb238.23
Maxscend Co Ltd (300782.SZ)	U (01/11/2021)	Rmb53.90
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb488.50
Lucas Wang		
AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT$1,285.00
FOCI Fiber Optic Communications Inc (3363.TWO)	E (10/09/2026)	NT$499.50
Hon Precision (7769.TW)	O (04/17/2026)	NT$5,210.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT$269.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT$4,790.00

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